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Anchoring Global Efficiency: Visakhapatnam Leads India's Entry into the World's Top 20 Container Ports

Case Summary:

In June 2024, Visakhapatnam Port Authority (VPA) became the first Indian port to enter the World Bank's global Top 20 Container Port Performance Index (CPPI), rising from rank 115 to 19 within a year. This case explores the institutional, operational, and leadership reforms that enabled this dramatic improvement at a legacy public sector port situated on India's eastern seaboard near the Malacca Strait with a strong rail-road connectivity position.

The protagonist of the case is Dr. M. Angamuthu, who was appointed as Chairperson, VPA in May 2023. When he assumed the role, the port faced multiple challenges: ageing infrastructure, procedural bottlenecks, fragmented stakeholder coordination, and mounting competition from privately run ports.

Drawing on the regulatory autonomy granted by the Major Port Authorities Act, 2021, the new leadership team implemented a focused reform strategy grounded in operational standardization, digital transformation, and stakeholder-driven coordination.

A key enabler of this transformation was the port's long-standing Public-Private Partnership (PPP) with Visakha Container Terminal Pvt. Ltd. (VCTPL), which has been operating the Container Terminal since 2003. This partnership enabled critical capacity upgrades at the Container Terminal. Further, developments were done in the overall port ecosystem. A regional approach to coordination, integration with customs, rail, and logistics stakeholders, and environmental stewardship created an ecosystem of trust amongst stakeholders and a strong inclination towards environmental sustainability for the port city. Such ecosystem-wide engagement improved turnaround times and operational metrics across the board.

Learning Objectives:

The case highlights how institutional clarity, data-backed decision-making, and performance-linked incentives were used to create a culture of collaboration, joint ownership, and a shared vision to accelerate the port-led economy for the city and the Country. Specifically, the case has the potential to achieve the following learning outcomes:

- Analyse how leadership enables institutional reform by creating executive freedom, aligning stakeholders, and navigating regulatory and procedural constraints in legacy public sector organisations.
- Examine public private partnership governance models and assess how contractual and relational approaches can be combined to improve performance, accountability, and long-term investment in infrastructure.
- Evaluate the role of stakeholder coordination across multiple agencies such as regulators, operators, and logistics partners in improving operational efficiency and service reliability.
- Assess strategic infrastructure choices under constraint, including trade-offs between container and bulk cargo and between regional collaboration and competition, using Strategic Choice Theory and competitive strategy frameworks.
- Understand the landlord port model as a policy instrument, and discuss how public ownership can be retained while enabling private sector operational freedom, investment, and innovation.
- Apply change management frameworks to map leadership actions to sustained organisational transformation, with a focus on embedding reforms beyond individual tenures.

Discussion Questions:

Here are some essential questions to guide and promote a classroom discussion on the key issues of this case study:

1. What were the most significant operational changes that enabled Vizag Port's improvement in global rankings?

Vizag Port's improvement in global rankings was driven by a set of targeted operational changes aligned directly with CPPI indicators, rather than by scale expansion alone. First, vessel turnaround time was sharply reduced. This was achieved through longer berths, deeper drafts, additional quay cranes, and better berth planning. These measures reduced pre-berthing delays, berth idle time, and total port call duration, which are core CPPI metrics. Second, yard and gate operations were streamlined. Expansion of the container yard, automation of gate processes through RFID and kiosk-based systems, and clearer SOPs for container movement reduced congestion inside the terminal and improved truck turnaround time.

Third, container handling productivity improved. Investments in modern cranes, electrified equipment, and twin-lift capability increased crane productivity and reduced variability in operations. Fourth, process standardisation replaced discretion. SOPs were introduced across cargo handling, vessel operations, and inter-agency coordination. This reduced dependence on individual judgement and ensured predictability for shipping lines. Finally, data-driven monitoring became routine. CPPI data and operational dashboards were used as management tools, not just as external benchmarks. This ensured that reforms were tightly linked to measurable outcomes. Together, these changes created a system where ships spent less time waiting, cargo moved faster, and operations became predictable – precisely what CPPI measures.

2. What are the key elements that made the VPA-VCTPL partnership effective? What lessons should other ports replicate or adapt?

The VPA-VCTPL partnership worked because it combined strong contractual design with relational governance. At the contractual level, the long-term PPP structure provided investment security for VCTPL and clear regulatory oversight for VPA. Roles were well defined: VCTPL focused on operations and equipment, while VPA focused on facilitation, regulation, and ecosystem coordination. What distinguished this partnership, however, was the relational approach. VPA treated VCTPL as a strategic partner rather than a vendor. Decisions on infrastructure expansion, mechanisation, tariff rationalisation, and operational changes were taken through continuous dialogue rather than rigid enforcement. Trust enabled speed. VCTPL was willing to invest ahead of demand because policy support and operational flexibility were credible. VPA, in turn, benefited from private sector execution capacity without losing public control.

Lessons to replicate:

- Clear separation of roles under a landlord model
- Long-term contracts that reward performance rather than volume alone
- Regular, institutionalised engagement between port authority and concessionaire

What to do differently elsewhere:

- Avoid over-prescriptive contracts that lock terminals into narrow cargo types
- Build exit and flexibility clauses to manage demand volatility
- Invest early in relational governance capacity within port authorities

3. How can lessons from Vizag be applied to other Indian ports or inland logistics hubs?

The Vizag case shows that governance reform can precede scale. Other Indian ports can apply three transferable lessons. First, institutional clarity matters as much as infrastructure. Shifting from operational micromanagement to facilitation and regulation allows private partners to perform. Second, stakeholder coordination is a core operational capability. Ports and inland hubs must actively align customs, railways, terminal operators, and logistics providers rather than treating them as external dependencies. Third, data should guide reform priorities. Whether using CPPI, logistics performance indicators, or turnaround metrics, reforms should be tied to measurable bottlenecks. For inland logistics hubs, the lesson is similar: invest in SOPs, digital integration, and coordination before expanding physical capacity. Vizag's experience shows that predictability and reliability often matter more than size.

4. How did Dr. Angamuthu's leadership style and stakeholder-centric approach drive change at Vizag Port?

Dr. Angamuthu's leadership was institutional rather than charismatic. He focused on systems, alignment, and continuity. His approach aligns closely with **Kotter's Eight-Step Change Model**. He created urgency using CPPI data, built a coalition across agencies and private players, articulated a clear operational vision, and delivered early wins such as tariff rationalisation and priority berthing reforms. Crucially, he anchored change in structures and processes. SOPs, digital platforms, and regular stakeholder forums ensured that improvements did not depend on personal intervention. The stakeholder-centric approach reduced resistance. Shipping lines, customs, railways, and terminal operators saw themselves as part of a shared outcome rather than subjects of control. This created ownership and sustained momentum.

5. How could Vizag Port institutionalize its gains beyond individual leadership tenures?

Institutionalisation requires converting leadership intent into rules, routines, and incentives. First, SOPs and digital workflows must remain mandatory and audited. Second, performance metrics aligned with CPPI indicators should be embedded into internal reviews and PPP evaluations. Third, stakeholder engagement platforms should be formalised rather than personality-driven. Fourth, leadership development within VPA should emphasise systems thinking, PPP governance, and data literacy.

Finally, policy alignment with national programmes must continue, ensuring that local reforms remain supported by higher-level frameworks. Sustained performance emerges when excellence becomes organisational habit, not individual effort.

Teaching Strategy:

This case is designed for a **60 to 90 minute classroom session** with **40 to 50 participants**, ideally in mid-career civil service, public policy, or infrastructure management programmes. Participants are expected to have read the case and prescribed readings in advance.

The session may begin with a **brief instructor led framing** of Visakhapatnam Port's evolution, focusing on its transition across port governance models, particularly the shift from a service port approach to a landlord port model. This introduction should also map the port ecosystem, identifying key stakeholders such as the port authority, private terminal operator, customs, railways, shipping lines, and logistics providers. The objective at this stage is to situate the case within **public private partnership governance frameworks** and clarify the operational boundaries between public oversight and private execution.

Instructor presentation: 10 minutes

Following this, the instructor should introduce a **strategic dilemma** to anchor discussion: should VPA aggressively prioritise container cargo over bulk cargo, and should it pursue regional collaboration or direct competition with neighbouring ports. This dilemma allows participants to apply **Strategic Choice Theory**, examining how leadership decisions shape outcomes under regulatory, market, and institutional constraints. Porter's Generic Strategies may be used to contrast cost leadership in bulk cargo with differentiation through speed and reliability in container logistics. Participants may then be divided into small groups and asked to analyse the CPPI metric table and Exhibit 5. Each group should identify which operational changes most directly influenced global rankings and where trade-offs or risks remain. This exercise reinforces **data driven decision making** and links operational reform to measurable outcomes.

Small group exercise and reporting: 15 to 20 minutes

The instructor should then guide a plenary discussion on **leadership and institutional change**, mapping VPA's reform journey against **Kotter's Eight Step Change Model**. Participants should identify moments that created urgency, built coalitions, delivered early wins, and anchored change in systems such as SOPs

and digital platforms. This discussion should also explore how trust and relational governance strengthened the VPA VCTPL partnership beyond formal contracts.

To broaden perspective, the instructor may prompt comparison with ports such as Mundra or Singapore, asking participants to reflect on differences in ownership, scale, hinterland strength, and policy flexibility. This step pushes learners to distinguish between **replicable governance principles** and **context specific advantages**.

Facilitated class discussion: 20 to 25 minutes

The session should conclude by returning to the forward-looking question of sustainability. Participants should discuss how VPA can institutionalise recent gains and manage risks such as capacity expansion outpacing demand. This closing segment reinforces lessons on long-term public-sector performance beyond individual leadership tenures.

Assessment Methodology:

Participant learning may be assessed through a combination of **applied analysis, group work, and reflective judgement**, rather than factual recall.

A core assessment activity may be a **structured group presentation** in which participants analyse the Vizag Port case through three lenses: operational reform, institutional design, and strategic choice. Groups should identify key challenges faced by VPA, distinguish between infrastructure investments at the container terminal and enabling measures taken beyond the terminal gates, and link these actions to measurable outcomes such as turnaround time and CPPI performance. Assessment should emphasise the ability to connect actions with results using evidence from the case.

A second assessment may take the form of a **stakeholder role play simulation**, where participants assume the roles of the port authority, private terminal operator, customs, railways, and shipping lines. Each group should articulate priorities, constraints, and reform demands, followed by a negotiated reform plan. This exercise evaluates understanding of PPP governance, relational coordination, and conflict resolution.

As a capstone activity, instructors may assign a **Reform Challenge**. Participants identify a legacy public infrastructure institution such as a railway yard, public warehouse, inland water terminal, or another port, and apply the Vizag framework to propose a reform pathway. Learners should explicitly address strategic

dilemmas such as demand versus capacity, competition versus collaboration, and container versus bulk prioritisation.

Evaluation criteria should focus on:

- Quality of problem diagnosis and use of data
- Application of theory frameworks such as Strategic Choice Theory, PPP governance models, and Kotter's change framework
- Depth of stakeholder mapping and incentive alignment
- Feasibility and sequencing of proposed reforms

Group activity and presentations: approximately 30 minutes

Target Audience and Subject Domains:

This case illustrates successful leadership and successful PPP practices that can guide group A, B and C officials across government departments, port officials, infrastructure planners, municipalities, besides other public policy think tanks who advise or undertake public infrastructure development projects. It is also suitable for students pursuing MBA or public policy programmes.

Subject Domains: Port management/development, PPP governance, Public infrastructure reform, stakeholder coordination.

Additional Teaching Resources:

Resource 1: [World Bank CPPI 2023 Report](#)

Source: World Bank and S&P Global

Resource 2: [Maritime Amrit Kaal Vision 2047](#)

Source: Ministry of Ports, Shipping and Waterways (2023)

Resource 3: [Sagarmala Concept Document](#)

Source: Ministry of Ports, Shipping and Waterways (2015)